Circular 1/2023

Modification to Circular 1/2021, as of March 17, 2021, on operating rules about Stock Exchange Interconnection System (SIB)

Exchange

Sociedad de Bolsas approved Circular 1/2021 on March 17, outlining the Operating Rules of the Stock Exchange Interconnection System, consolidating the regulatory rules for trading in the Stock Exchange Interconnection System into a single regulatory text. This consolidation was done in alignment with the standards of Directive 2014/65/EU for greater clarity.

With the aim of enhancing the efficiency of trading in the Stock Exchange Interconnection System, Sociedad de Bolsas has decided to introduce two new functionalities related to trading at the closing auction: At-the-Close condition (AtC) orders and the "Trading at Last" (TAL) trading phase.

Thus, through this Circular, the applicable rules for these new functionalities are incorporated into the Operating Rules of the Stock Exchange Interconnection System, which remain fully in force.

In pursuit of these objectives, the Board of Directors of Sociedad de Bolsas, in its session on September 20, 2023, within its scope of authority, approved this modification Circular to Circular 1/2021 on the operating rules of the Stock Exchange Interconnection System.

First. Modification of subsection "3.2.1 General Trading Hours" of Circular 1/2021, dated March 17, on Operating Rules of the Stock Exchange Interconnection System.

A fifth section is included in subsection "3.2.1 General Trading Hours" of Circular 1/2021, as follows:

> *"3.2.1.5 Trading at Last*
>
> *Trading period that begins after the closing auction of the session, lasting for 10 minutes until 17:45, for executing operations at the closing price published at the end of the trading session.*
>
> *For those securities that enter in closing auction extension, the duration of the Trading at Last (TAL) trading phase will have a maximum duration of 8 minutes."*

Second. Modification of subsection "6.2.3 Order Conditions" of Circular 1/2021, dated March 17, on Operating Rules of the Stock Exchange Interconnection System.

Two additional paragraphs are included at the end of subsection "6.2.3 Order Conditions" of Circular 1/2021, as follows:

> *"Market orders, limit orders, and market to limit orders can be entered into the System with the At-the-Close (AtC) condition. Orders with this condition will not be displayed in the order book until the start of the closing auction.*
>
> *For these types of orders, a new priority will be assigned when they become visible in the order book. In the closing auction, the priority will be based on visibility, price, and time.*
>
> *Orders entered into the system with the At-the-Close (AtC) condition that are not executed, either totally or partially, in the closing auction will automatically participate in the Trading at Last (TAL) phase, except for "valid for a day" orders, for which the market member can choose whether they move to this trading phase or not."*

Third. Modification of subsection "6.3.4 Order Conditions" of Circular 1/2021, dated March 17, on Operating Rules of the Stock Exchange Interconnection System.

Two additional paragraphs are included at the end of subsection "6.3.4 Order Conditions" of Circular 1/2021, as follows:

> *"Market orders, limit orders, and market to limit orders can be entered into the System with the At-the-Close (AtC) condition. Orders with this condition will not be displayed in the order book until the start of the closing auction.*
>
> *For these types of orders, a new priority will be assigned when they become visible in the order book. In the closing auction, the priority will be based on visibility, price, and time.*
>
> *Orders entered into the system with the At-the-Close (AtC) condition that are not executed, either totally or partially, in the closing auction will automatically participate in the Trading at Last (TAL) phase, except for "valid for a day" orders, for which the market member can choose whether they move to this trading phase or not."*

Fourth. Inclusion of a new subsection within the "6. GENERAL TRADING" section of Circular 1/2021, dated March 17, on Operating Rules of the Stock Exchange Interconnection System.

A fourth subsection is included within the "6. GENERAL TRADING" section of Circular 1/2021, with the following wording:

"6.4 TRADING AT LAST (TAL) PHASE

6.4.1 Definition

Trading period that starts after the closing auction and is exclusively available for securities whose closing price matches the closing auction price, and for which at least one (1) share has been traded in the closing auction.

If the security intended for trading in the Trading at Last (TAL) phase does not meet both requirements, the trading session ends for that instrument, and trading in this phase is not possible.

6.4.2 Operation

During the Trading at Last (TAL) phase, Market members can enter, modify, or cancel orders after the completion of the closing auction, for securities for which this trading phase is open.

Orders will be executed based on the time priority of the orders and at the closing price of the traded security determined in the closing auction.

If a good-till-date (GTD) order cannot be executed or can only be partially executed during this trading phase, it will remain in the order book. If they are "valid for a day" orders, the unexecuted or partially executed order will be removed from the System at the close of the Trading at Last (TAL) phase.

Trades during the Trading at Last (TAL) phase do not contribute to price formation.

During the Trading at Last (TAL) phase, the System will make visible the aggregated volume that can be executed at that moment and the closing price of the session.

Details of trades in this trading phase will be disseminated by the System."

Fifth. Inclusion of a new subsection within the "8. TRADING OF SECURITIES WITH FIXING" section of Circular 1/2021, dated March 17, on Operating Rules of the Stock Exchange Interconnection System.

A third subsection is included within the "8. TRADING OF SECURITIES WITH UNIQUE PRICES FOR EACH AUCTION PERIOD (FIXING)" section of Circular 1/2021, with the following wording:

"8.3 ORDER CONDITIONS

Market orders, limit orders, and market to limit orders can be are entered into the System with the At-the-Close (AtC) condition. Orders with this condition will not be displayed in the order book until the start of the closing auction.

For these types of orders, a new priority will be assigned when they become visible in the order book. In the closing auction, the priority will be based on visibility, price, and time.

Good-till-date (GTD) orders entered into the system with the At-the-Close (AtC) condition that are not executed, either totally or partially, in the closing auction will automatically participate in the Trading at Last (TAL) phase, except for 'valid for a day' orders, for which the market member can choose whether they move to this trading phase or not."

Sixth. Effective Date.

This Circular will come into effect on the day following its publication.

Madrid, December 1st, 2023

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